

Module 5: Engaging Customers

Module Takeaways

The key takeaways in this module include:

- Why it is critical that companies not only acquire new customers, but also retain existing ones
- Understand different digital marketing strategies that can help companies engage consumers to reduce churn
- Apply these strategies in different contexts

Retention and Personalization

Acquiring new customers is costly. It costs far more to acquire a new customer than it does to retain that customer. In other words, it is much more efficient for companies to retain customers.

- **Retention** is the key driver for customer lifetime value (LTV), which measures the long-term profit from a customer.
- Customer retention is often measured by **retention rate**: the percentage of customers who stay with a company in a given time period (for example, one year).
- **Churn** is the percentage of customers who leave a company in a given time period.
- Churn and retention are inversely proportional: churn rate is equal to 100 minus the retention rate.

Personalization is one method to reduce churn. What makes something “personalized” can vary depending on many factors, such as product category, consumer preferences, or demographics.

- Personalization is used by companies as an engagement strategy.
- Personalization can lead to customer retention.
- Personalization involves understanding the products and the preference of the consumers themselves.

AI Techniques for Consumer Personalization

In situations where **understanding consumer preferences** and behavior is complex, companies have found success in using various artificial intelligence (AI) techniques, which allow for an effective analysis of large amounts of complex data.

- **Natural language processing**: an AI technique used to analyze and understand text and language in a way based on what consumers are typing into search engines.

- **Collaborative filtering:** a technique that makes use of consumers' overlap in preferences to predict their preference for new items.
- **Content-based filtering:** a technique that uses categorical tags or product features to create recommendations for consumers.

Strengths of Personalization

- Personalization tends to be most useful when a product or service is difficult to describe, and the variety is large. The more objective and quantifiable product differences exist in a category, the less personalization can add to customer experience.
- Personalization can be a helpful tool in aligning product distinctions with consumer preferences. Personalization can offer more value in categories where product difference is more subjective or abstract (like wine, fashion, beauty, restaurants, or movies).

Challenges of Personalization

- Personalization is not always easy to implement. It requires a large amount of customer data, and not all customers are willing to share their personal information with companies, even if it is used to provide them with a more seamless experience.
- Misuse of customer data by some companies has eroded consumer trust.

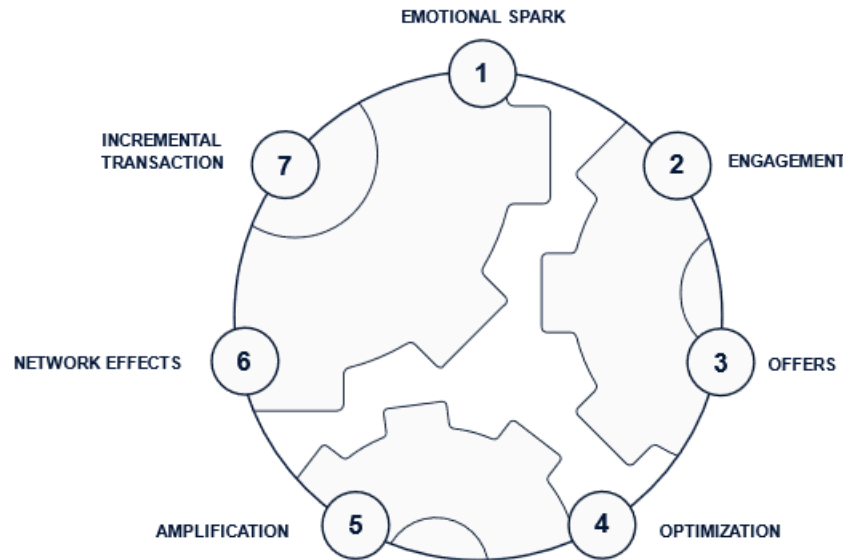
From Storytelling to Story-making

Digital media has transformed the ways that companies interact with their customers, turning engagement into a two-way street. The approach of **storytelling** became a popular way for companies to engage customers as opposed to the “hard sell” approach of television and print advertising.

Story-making takes the concept further, making the customer an integral part of the story. Not simply crafting a message that might appeal to the consumer, but actively including the customer in creating their own stories.

Companies can use the needs and desires of customers to create experiences that involve them more deeply in the brand.

How to actively engage customers in creating stories about your brand will depend on each individual marketing campaign. One framework for customer engagement that might be helpful is the “digital engine” that Mastercard created. You may want to use this as a map for your own digital marketing strategy.



Mastercard's digital engine has seven steps:

1. **Emotional spark:** Create an emotional spark that generates excitement and provides an inspiring example for consumers to create their own stories.
2. **Engagement:** Engage and encourage your target audience to share their stories.
3. **Offers:** Do macro and micro analysis to identify the right offers for consumers. Based on your analyses, you can then narrow down a few offers that might appeal best to consumers (and any merchant partners).
4. **Optimization:** Once you've selected what you want to offer in the campaign, you can test and refine creative content, copy, and themes of the campaign.
5. **Amplification:** Once you have tested and have evidence of effectiveness, you can put marketing dollars towards amplifying these campaigns.
6. **Network Effects:** Post and share consumers' stories on social media and encourage consumers to share these stories with their friends and family.
7. **Incremental transactions:** Measure the campaign's effectiveness using metrics such as reach, engagement, views, qualified leads, and incremental transactions. Incremental transactions are the additional transactions that occur due to the marketing campaign that would not have happened otherwise, these are also referred to as incremental sales.

Brand Communities and Engagement

Brands are interested in creating brand communities to enhance connection with their consumers, to enhance connections among and between consumers, and to increase engagement and loyalty with the hope of building brand equity and creating brand value.

Brand communities are attractive to consumers because they offer social and identity value. They provide three important things to consumers:



- A sense of belonging to a group, “we-ness”
- A sense of responsibility and helping other people
- Meaningful rituals and traditions

Brands themselves benefit from a strong brand community’s ability to advocate for the value of the brand products. There are two different types of brand communities:

- **Consumer-initiated and managed community:** Organic fan clubs that are initiated, managed, and nurtured by consumers themselves. These are highly authentic.
- **Brand-created community:** When a brand has a strong relationship with its consumers, the brand can launch and create a meeting place either offline or online where consumers want to come together, meet each other, and engage with the brand.

How to Build Brand Community

First, create a **meeting place**, whether that's online or offline, and a reason to come, a reason to be there, and some value for consumers.

Next, initiate or encourage the development of **rituals and traditions** because those are the things that create engagement with consumers.

The **biggest challenge** with initiating and managing brand communities is a heavy hand. Managers need to be careful to give up control of the brand and its communications to consumers in brand communities. Communities may rebel or resist if companies try to steer them too directly.

Brand Communities and the Marketing Funnel

Brand community activity can be top of the funnel activity, middle of the funnel activity, or bottom of the funnel activity.

Often, brand community activity is about building early connections with consumers. It's operating at the top of a marketing funnel by creating brand **awareness**, by contributing to brand knowledge.

Mid-funnel **engagement** is key to keeping a brand community healthy and actively participating with your brand.

The key to moving from engagement/conversation to **conversion**/purchase is to make sure that the commercial message you finally deliver holds real value for the consumers. It is important to make consumers feel they have been part of the process. Listen to your brand community, thank them for their input, and create new products based on their needs. That's the gentle push towards purchase that makes community members feel more comfortable and less of a hard sales pitch.